

TIAA Institutional Risk Tolerance Assessment — John Smith

This questionnaire is designed to assess John Smith's risk tolerance and investment preferences to help construct an appropriate investment portfolio. Responses will be used to determine a recommended asset allocation strategy.

WHAT ARE THE CLIENT'S TOTAL ASSETS?

- ☐ \$50,000,000+
- ☐ \$10,000,000 – \$49,999,999
- ☐ \$5,000,000 – \$9,999,999
- ☒ **\$1,000,000 – \$4,999,999**
- ☐ Below \$1,000,000

Assets Under Consideration: **\$2,500,000** | Pension Income: \$77,000/year (combined) | Social Security: \$58,000/year (estimated, age 67)

WHAT IS THE CLIENT'S TIME HORIZON?

- ☐ 0–4 Years (3 points)
- ☐ 5–10 Years (6 points)
- ☒ **11–20 Years (9 points)**
- ☐ 20 Years + (12 points)

Note: John is planning for a 20+ year retirement, but will begin gradual transition to income focus over the next 3 years at retirement (age 65). Time horizon of 10–15 years reflects the active management phase before full income drawdown.

WHAT IS THE CLIENT'S PRIMARY INVESTMENT OBJECTIVE?

- ☐ Income (3 points)
- ☒ **Growth & Income (6 points)**
- ☐ Growth (9 points)

WHAT IS THE CLIENT'S ANNUAL SPENDING / WITHDRAWAL POLICY?

- ☐ Low (0–2%) (3 points)
- ☒ **Moderate (4–5%) (6 points)**
- ☐ High (5–7%) (9 points)

Note: Plan to withdraw \$100,000–\$120,000 annually from portfolio in retirement.

WHAT IS THE CLIENT'S AVERAGE ANNUAL RETURN EXPECTATION?

- ☐ 0–3% (3 points)
- ☐ 3–5% (6 points)
- ☒ **5–7% (9 points)**

- More than 7% (12 points)

WHAT IS THE CLIENT'S OVERALL INVESTMENT APPROACH?

- Prefers a relative level of stability in the overall portfolio (3 points)
- Prefers to slightly increase investment value while minimizing the potential for loss of principal (6 points)
- **Willing to accept moderate fluctuations in pursuit of long-term growth, but prefers to avoid significant losses (9 points)**
- Prefers meaningful investment growth with moderate to high levels of risk and principal fluctuations (12 points)
- Prefers maximum long-term returns with maximum risk and principal fluctuations (15 points)

HOW WOULD THE CLIENT REACT TO A PORTFOLIO LOSING 15% OF ITS VALUE IN THE FIRST YEAR OF RETIREMENT?

- Would be extremely concerned and liquidate the investment (3 points)
- Would be concerned and consider liquidating the investment (6 points)
- **Stay the course if fundamentals are sound, but would review the allocation (9 points)**
- Would not be overly concerned given the long-term investment philosophy (12 points)

WHICH OF THE FOLLOWING EVENTS DOES THE CLIENT FEAR THE MOST?

- A loss of 10% of principal over a period of six months or less (3 points)
- A loss of 10% principal over a one-year period (6 points)
- **Prolonged market downturn in early retirement (sequence of returns risk) (7 points)**
- Investment performance that consistently underperforms broad market benchmarks (9 points)
- A missed investment opportunity that may have yielded higher returns despite substantially higher risk (15 points)

WHAT IS THE CLIENT'S OVERALL KNOWLEDGE OF INVESTMENTS?

- None (3 points)
- Low — Very little investment experience (6 points)
- Moderate — Some investment experience (9 points)
- **High — Extensive investment experience, follows markets closely (12 points)**

ADDITIONAL INVESTMENT CONSTRAINTS

John Smith prioritizes **tax efficiency** given high tax-deferred account balances (TIAA Traditional 403(b): \$1,200,000; Vanguard Rollover IRA: \$300,000). RMDs will begin at age 73 — Roth conversion strategy should be evaluated during ages 65–72.

Inflation protection is important given the anticipated 20+ year retirement horizon. Real assets and TIPS exposure should be considered within the allocation.

Client prefers **low-cost index funds and ETFs** where appropriate. No ESG preference noted. Combined pension income (\$77,000/year) provides a stable base, supporting moderate equity exposure during early retirement.

RISK TOLERANCE QUESTIONNAIRE — SCORING SUMMARY

Question	Selected Response	Points
Time Horizon	10–15 Years (Planning for income drawdown phase)	7

Primary Objective	Balanced Growth and Income	5
Annual Spending Policy	Moderate (4–5%)	5
Return Expectation	5–7%	7
Investment Approach	Moderate fluctuations acceptable, avoid significant losses	7
15% Loss Reaction	Stay the course, but review allocation	7
Most Feared Event	Prolonged downturn in early retirement (sequence of returns risk)	5
Investment Knowledge	High — Extensive experience, follows markets closely	12
TOTAL SCORE		55

RESULT:

MODERATE

Score: 55 Range: 52–67

Portfolios with a **Moderate** objective are designed to balance growth and income with moderate sensitivity to market volatility. With a target allocation of roughly equal parts growth and income assets, this objective seeks steady returns with manageable risk. This allocation is appropriate for a pre-retiree seeking to preserve and grow assets while transitioning toward income generation over a 3–5 year horizon.

Suggested Asset Allocation — Moderate

55%	35%	8%	2%
Equity	Fixed Income	Alternatives / Real Assets	Cash & Equivalents

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